1817 / 18USA Merger & Acquisition Rounds

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0 About this Document

The purpose of this document is to provide an easier-to-understand alternative to the M&A rules in 1817.

This document is adapted from the 18USA rules that were published by All-Aboard Games in 2021, and also corrects an error with the timing of share buying when converting companies. This document applies to 1817 and 18USA. The author has not verified whether it applies to other games in the 1817 family.

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1 Overview of Merger & Acquisition Rounds

In M&A rounds companies may be converted to the next type, merge with another company, acquire another company, or be liquidated. M&A rounds proceed as follows:

1. Conversions and Mergers (white area) - in operating order
2. Liquidations (red area) - in reverse operating order
3. Acquisitions (gray area) - in reverse operating order
4. Friendly sales (white area) - in reverse operating order

Companies in liquidation or acquisition may not perform any actions during M&A rounds. They cannot convert, merge, or bid to purchase other companies.

If a company moves into the gray acquisitions area due to loans taken during an acquisition or conversion, the company is not put up for acquisition during this M&A round, and may not take any further actions during this M&A round.

Companies that leave play due to mergers or sales may be re-opened later as a new company.

2 Conversions and Mergers

In operating order, companies declare and execute conversions and mergers. This option is only available to companies whose share price tokens are in the white area on the stock market.

2-share companies may convert to a 5-share company, or merge with another 2-share to form a 5-share.
5-share companies may convert to a 10-share company or merge with another 5-share to form a 10-share.

Companies may only be involved in a single conversion or merger per M&A round. For example, a 2-share company cannot convert to a 5-share, then to a 10-share. Nor may a 2-share company convert to a 5-share company, and then merge with another 5-share to form a 10-share company.

If a company declines to declare a conversion or merger on its turn, it may still merge with another company acting later in the round.

If a company is above its train limit at any time, it must put excess trains of its choice in the open market.

2.1 Conversions

To convert a 2-share company to a 5-share:

1. Add three 20% shares to the charter.
2. Cover the “2-share” circle on the charter with a “5-share” marker.
3. Conduct Conversion or Merger Share Purchasing, detailed in section 2.3.
4. Take loans (if desired) per the normal rules.
5. Purchase an additional station token for $50 and add it to the charter. (If the company already has 8 station tokens this step is skipped.) If the company cannot afford to purchase the required station marker its share price token is placed in the red liquidation area on the stock market.

To convert a 5-share company to a 10-share:

1. Add five 10% shares to the charter.
2. Flip the “5-share” marker over to the “10-share” side.
3. If the company has previously been sold short, place the remaining short share certificates and corresponding regular share certificates into the open market either on top of the existing short stack, or in a new one if necessary.
4. Conduct Conversion or Merger Share Purchasing, detailed in section 2.3.
5. Take loans (if desired) per the normal rules.
6. Purchase two additional station tokens for $100 and add them to the charter. (If the company already has 8 station tokens this step is skipped. If it has seven station tokens it must buy one additional token for $50.) If the company cannot afford to purchase required station markers its share price token is placed in the red liquidation area on the stock market.

2.2 Mergers

Companies that have converted may not merge in the same M&A round. *(18xx veteran note: companies do not have to be able to trace a route between them in order to merge.)*

Two 2-share companies may merge to form a single 5-share company by exchanging shares on a 2-for-1 basis. The procedure is as follows:

1. Choose which company will survive as the 5-share company; the other will disappear.
2. Put the trains, treasury and loans of the disappearing company’s charter onto the surviving charter.
3. Convert the disappearing company’s station tokens to those of the surviving company, as described in section 4.
4. Add three 20% shares to the charter.
5. Cover the “2-share” circle on the charter with a “5-share” marker.

6. Set the share price of the new company. This price is the sum of the two 2-share companies' prices, rounded down to the nearest value on the stock market. Place the share price token underneath any tokens already present.
7. The former presidents of the 2-share companies exchange their President's Certificates for one 20% share in the new company.
    - If both presidents were the same player, that player exchanges both former President's Certificates for the 40% President's Certificate in the new company.
    - If the former presidents are different players, the initiating company's president must purchase one additional share from the company and take the Presidents Certificate; the other player receives a single 20% share of the new company. If the initiating president cannot afford to do so then the merger is not allowed.
8. Conduct Conversion or Merger Share Purchasing, detailed in section 2.3.
9. Take loans (if desired) per the normal rules.

Two 5-share companies may merge to form a single 10-share company by exchanging shares on a 1-for-1 basis.

1. Choose which company will survive as the 10-share company; the other will disappear.
2. Put the trains, treasury and loans of the disappearing company's charter onto the surviving charter.
3. Convert the disappearing company's station tokens to those of the surviving company, as described in section 4.
4. Flip the "5-share" marker to the "10-share" side.
5. Set the share price of the new company. This price is the average of the two 5-share companies' prices, rounded down to the nearest value on the stock market. Place the share price token underneath any tokens already present.
6. Exchange the disappearing company's 20% shares and short shares (in player hands and the open market) with 10% shares of the surviving company.
7. The player with the most shares is the president of the new company. If there is a tie, the former president of the initiating company becomes president.
8. Conduct Conversion or Merger Share Purchasing, detailed in section 2.3.
9. Take loans (if desired) per the normal rules.

2.3 Conversion or Merger Share Purchasing

The president of the company may purchase any number of shares from the company treasury (not the open market) per the normal rules.

Next, each player in clockwise order starting from the president's left, may buy one share from the company's treasury, or sell any number of shares to the open market. Purchases and sales are subject to the normal rules. Short sales are not allowed. A change in presidency may occur.

3 Company Sales: Liquidations, Acquisitions, and Friendly Sales

Companies can only be acquired by other companies, never by players. The buying company will gain the purchased company's trains, station tokens and private companies. In acquisitions and friendly sales (not liquidations) the buying company will also gain the purchased company's treasury and loans.

All purchases of companies are done via auction. Companies that are in the liquidation or acquisition area of the stock market may not bid on companies up for sale.

Liquidations are done first, followed by acquisitions, and then friendly sales. All are conducted in reverse operating order.

The procedure for each of three types of sale is generally the same, but there are some important differences in the details. As such, each procedure is described separately in the following sections. For reference, a summary of the key differences is included at the start of each section; if this is your first time reading these rules feel free to skip the summaries.

3.1 Liquidations

Companies whose stock price token is in the red "liquidation" area of the stock market are liquidated in reverse operating order. These companies are always liquidated, even if no bids for them are made.

Differences Summary:

- Bank makes initial bid of $0.
- Treasury and loans are set aside.
- Treasury plus winning bid is used to repay loans.
- President must repay additional loans if necessary.

- Shareholders are compensated with money left over after loan repayment (if any remains), divided by company size.
- Companies with no president (due to player bankruptcy) are liquidated.

3.1.1 Bidding Procedure

Before bidding begins, the president sets the company's treasury and loans aside; remove them from the charter. This amount will be used to settle the company's debts following the purchase.

The bank makes an initial bid of $0. Then, the player to the left of the company's president begins and the auction proceeds clockwise around the table. Players either bid on behalf of one of their companies or pass. A bidding player does not have to identify the company that they are bidding for. A player passing may not re-enter the auction later. The amount bid may be any multiple of $10 that is greater than the previous bid. Additionally, the president of the company being sold may not raise the prior bid by more than $10. Players may not make a bid that none of their companies would be able to pay.

The auction continues all but one player has passed. The remaining player wins the auction and now identifies which of their companies will make the purchase.

If no player has bid, then the bank wins the auction for $0.

Resolving the Purchase:

Once the winner has been determined, move any shares in the company's treasury to the open market. The company receives no compensation for this.

The buying company takes all of the purchased company's trains, station markers, and private companies. If the buying company now holds trains in excess of the limit it must discard excess trains of its choice to the open market.

Station tokens are converted as described in 3.

The buying company now pays the winning bid. It may take loans.

The winning bid amount is now added to the cash and loans set aside earlier. In the case that the bank purchased the company for $0, then no money is added. The president of the purchased company must now repay its loans using all of the money that has been set aside. Any money left after repaying loans is set aside for shareholder

compensation (see below). If the total amount of cash is insufficient to pay off the loans, the president must make up the difference by contributing their own money. If they do not have enough money, they enter a Cash Crisis.

3.1.2 Shareholder Compensation

Shareholders and players with short shares in the purchased company now settle on a per-share basis. First, calculate the per-share price by dividing the surplus money left-over from loan repayment by the size of the company (2, 5 or 10), rounded down.

Players who own shares in the purchased company return each share to the bank and receive the per-share amount in exchange.

Players with short shares in the purchased company pay the per-share amount to the bank and return the short shares. If a player has insufficient funds to make the payment they enter a Cash Crisis.

3.1.3 No President

If the company being liquidated has no president (due to bankruptcy), loans that cannot be redeemed due to insufficient treasury funds are simply returned to the Bank of New York. The auction begins with the player who was nearest to the left of the bankrupted former president.

3.2 Acquisitions

Companies whose stock price token is in one of the gray “acquisition” areas of the stock market are now offered for sale in reverse operating order.

Differences Summary:

- Minimum bid is $10
- Winning bid is paid to the bank
- Shareholders are compensated with winning bid amount divided by company size

3.2.1 Bidding Procedure

The player to the left of the company’s president begins and the auction proceeds clockwise around the table. Players either bid on behalf of one of their companies or pass. A bidding player does not have to identify the company that they are bidding for. A player passing may not re-enter the auction later. The amount bid may be any multiple of $10 that is at least $10 and is greater than the previous bid.

Additionally, the president of the company being sold may not raise the prior bid by more than $10. Players may not make a bid that none of their companies would be able to pay.

The auction continues until all but one player has passed. The remaining player wins the auction and now identifies which of their companies will make the purchase. If no bids were made the company is not sold and will continue to operate normally.

3.2.2 Resolving the Purchase

Once the winner has been determined, move any shares in the company's treasury to the open market. The company receives no compensation for this.

The buying company takes all of the purchased company's trains, station markers, private companies, treasury, and loans. If the buying company now holds trains in excess of the limit it must discard excess trains of its choice to the open market.

Station tokens are converted as described in section 4.

The buying company now pays the winning bid to the bank. It may take loans.

The buying company may now pay off any loans acquired from the purchasing company. For every loan not paid off the share price token is moved two steps back, up to the leftmost acquisition space on the market.

3.2.3 Shareholder Compensation

Shareholders and players with short shares in the purchased company now settle on a per-share basis. First calculate the per-share price by dividing the purchase price and dividing it by the size of the company (2, 5 or 10), rounded down.

Players who own shares in the purchased company return each share to the bank and receive the per-share amount in exchange.

Players with short shares in the purchased company pay the per-share amount to the bank and return the short shares. If a player has insufficient funds to make the payment they enter a Cash Crisis.

3.3 Friendly Sales

Lastly, companies whose stock price token is any of the white spaces on the stock may be offered for friendly sale at the president's discretion, in reverse operating order.

Differences Summary:

- Minimum bid is market value: current share price × company size
- Treasury shares moved to the open market are compensated by the bank
- Winning bid is paid to the bank
- Shareholders are compensated with winning bid amount divided by company size

3.3.1 Bidding Procedure

The player to the left of the company's president begins and the auction proceeds clockwise around the table. Players either bid on behalf of one of their companies or pass. A bidding player does not have to identify the company that they are bidding for. A player passing may not re-enter the auction later. The amount bid may be any multiple of $10 that meets the minimum requirement and is greater than the previous bid. The minimum bid is the market value, calculated as the current share price multiplied by the share size of the company. *Example: the minimum bid for a 5-share company valued at 53 is 265.*

Additionally, the president of the company being sold may not raise the prior bid by more than $10. Players may not make a bid that none of their companies would be able to pay.

The auction continues all but one player has passed. The remaining player wins the auction and now identifies which of their companies will make the purchase. If no bids were made the company is not sold and will continue to operate normally.

3.3.2 Resolving the Purchase

Once the winner has been determined, move any shares in the company's treasury to the open market. The bank pays the company for each share.

The buying company takes all of the purchased company's trains, station markers, private companies, treasury, and loans. If the buying company now holds trains in excess of the limit it must discard excess trains of its choice to the open market.

Station tokens are converted as described in section 4.

The buying company now pays the winning bid to the bank. It may take loans.

The buying company may now pay off any loans acquired from the purchasing company. For every loan not paid off the share price token is moved two steps back, up to the leftmost acquisition space on the market.

3.3.3 Shareholder Compensation

Shareholders and players with short shares in the purchased company now settle on a per-share basis. First calculate the per-share price by dividing the purchase price and dividing it by the size of the company (2, 5 or 10), rounded down.

Players who own shares in the purchased company return each share to the bank and receive the per-share amount in exchange.

Players with short shares in the purchased company pay the per-share amount to the bank and return the short shares. If a player has insufficient funds to make the payment they enter a Cash Crisis.

4 Acquired Station Tokens

Companies may gain additional station tokens from mergers or acquisitions, but may never have more than eight. The process for converting station tokens on the map is as follows:

If there are eight or fewer tokens between the two companies, replace station tokens from the disappearing/purchased company using unpurchased tokens from the surviving/buying company. If this results in two station tokens on the same hex, return one to the company's charter.

If there are more than eight station tokens between the two companies, first identify any hexes with more than one station and set the excess aside. Then:

- If there are still more than eight tokens on the map, the president selects which eight to keep and the rest are removed from the game.
- If there are now fewer than eight tokens on the map, move set-aside tokens to the company's charter until the total amount of tokens on the board and the charter is equal to eight. The rest are removed from the game.

If, after a merger or acquisition, a company has fewer than eight tokens on the map but more than eight tokens total (those on the map plus those on the charter), discard tokens from the charter as necessary to bring the total down to eight.